

Question #1 of 36

Question ID: 1586075

Wonderful Manufacturing has implemented a change in its pension plan, that will increase the future benefits for all of its current employees. Which of the following is the *most likely* effect on the company's financial statements of this change in promised benefits under current U.S. GAAP standards?

- A) The net pension liability will increase immediately by the projected increase in pension benefits due to employees.
 - B) The pension expense for the next reporting period will increase by the projected increase in pension benefits due to employees.
 - C) The firm's prior financial statements will be adjusted to reflect the increase in benefits.
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Question #2 of 36

Question ID: 1586048

A company is reporting a tax windfall arising from a share-based compensation plan. Which of the following is *least accurate*?

- A) The company would report a higher net income under U.S. GAAP.
 - B) The company would take the gain directly to equity under IFRS.
 - C) The company would report a lower tax expense in the income statement under IFRS.
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Question ID: 1586058

Which of the following is *NOT* an advantage of share based compensation over cash compensation?

- A) Share based compensation does not require a cash outlay.
- B) Share based compensation serves to align employee interest with the interests of stockholders.

- C)** In a share based compensation plan, expense is not recognized, unless the exercise price is set below the market price.
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Question #4 of 36

Question ID: 1586060

Which of the following statements about the methods of valuing employee stock options is *least* accurate?

- A)** Compensation expense is allocated in the income statement for the period between the grant date and the vesting date.
 - B)** Once the options are in-the-money, compensation expense is recognized on the income statement.
 - C)** The offset to compensation expense recognized is an increase in share-based compensation reserve.
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Question ID: 1586045

Which of the following statements about share-based compensation is *most accurate*?

- A)** The fair value of an option is expensed when the option is in-the-money.
 - B)** Only the intrinsic value of an option is shown as an expense in the income statement.
 - C)** The compensation expense is amortized over the vesting period in the income statement.
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Question ID: 1586064

The actuarial present value of all future pension benefits earned to date, based on expected future salary increases, is called the:

- A)** pension liability.
- B)** projected benefit obligation (PBO).
- C)** total projected pension cost.

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Question ID: 1586067

Federal Companies' reports under U.S. GAAP included the following information in the footnotes to its most recent financial statements:

Beginning Projected Benefit Obligation (PBO)	\$65,000,000
Beginning FV of Plan Assets	60,000,000
Service Cost	27,000,000
Interest Cost	3,000,000
Unamortized Actuarial Losses (Start of the Year)	5,000,000
Actual Return on Plan Assets	7,500,000
Expected Return on Plan Assets	8,500,000

Given the information above, calculate Federal's total periodic pension cost for the year.

- A)** \$41,000,000.00
 - B)** \$21,500,000.00
 - C)** \$27,500,000.00
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Question #8 of 36

Question ID: 1586056

The number of potentially dilutive securities for the stock grant at the end of 20X1 is *closest* to:

- A)** 25,000.
 - B)** 16,667.
 - C)** 21,078.
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Question #9 of 36

Question ID: 1586061

Which of the following statements about stock appreciation rights, performance stock, and RSUs is *most* accurate?

- A)** Phantom stock payoffs are based on the performance of the firm's actual shares.
 - B)** Performance stock cannot be sold by the employee until vesting has occurred.
 - C)** Stock appreciation rights never have any dilution effect on the existing shareholders.
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Question ID: 1586047

For a stock grant, from the company's perspective, a tax windfall is *most likely* to result when the:

- A)** stock price at settlement was higher than the stock price on the grant date.
 - B)** intrinsic value at settlement was lower than the fair value on the grant date.
 - C)** stock price at settlement was lower than the stock price on the grant date.
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Question ID: 1586059

In determining the fair value of employee stock options, which of the following statements is *most* appropriate?

- A)** A higher than expected dividend yield will decrease the estimated fair value.
 - B)** Absent a market-based instrument, U.S. GAAP and IFRS prefer firms to use the Black-Scholes option-pricing model.
 - C)** Changes in fair value after the grant date is taken directly to equity.
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Question ID: 1586071

An analyst views the assumptions made by a company reporting under U.S. GAAP regarding its pension liabilities as unrealistic, and thinks the discount rate and expected rate of return should both be increased. The *most likely* effect of increasing the discount rate and expected rate of return on the pension benefit obligation (PBO) is:

<u>Discount rate</u>	<u>Expected rate of return</u>
A) No effect	Decrease
B) Decrease	No effect
C) Increase	Decrease

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Question ID: 1586043

Which type of compensation is *most likely* to increase current liability for a company?

- A)** Stock-option grants.
 - B)** Stock grants.
 - C)** Salary and wages.
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Prisma Inc. started an employee stock option and RSU grant plan. On Jan 1, 20X1, the company made a grant of 150,000 at-the-money options (maturing in five years) and 25,000 shares. The fair value of the options was \$1.79 and the stock price on the date of the grant was \$16. Both awards vest after 3 years. The average stock price during the year was \$17 and it was \$17.50 at the end of the year.

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Question ID: 1586050

The expense reported for 20X1 is *closest* to:

- A)** \$187,033.
 - B)** \$222,833.
 - C)** \$133,333.
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Question ID: 1586051

The cash outflow reported on account of share-based compensation is:

- A) \$133,333.
 - B) \$0.
 - C) \$222,833.
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Question ID: 1586052

The change in stock-holder's equity at the end of 20X1 on account of the share-based compensation is *closest* to:

- A) \$133,333.
 - B) \$0.
 - C) \$222,833.
-

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Question ID: 1586053

For this question only, assume that the stock price on the settlement date is \$18.50. This will *most likely* result in a(n):

- A) tax shortfall.
 - B) extraordinary loss.
 - C) tax windfall.
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Question #18 - 18 of 36

Question ID: 1586054

For this question only, suppose that Prisma reports a net loss for 20X1. Which of the following statements is *most accurate*?

- A) Unvested options that are out-of-the-money are considered dilutive.

- Under the treasury method, the number of hypothetically repurchased shares is
- B)** based on the share price at the end of the reporting period.
 - C)** Prisma's basic EPS and fully diluted EPS would be the same.
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Question ID: 1586062

For forecasting the dilution from future grants of share-based compensation and its effects on valuation, which of the following approaches is *least appropriate*?

- A)** Add share-based compensation expense estimates to free cash flow estimates and increase the number of shares outstanding based on the same estimates.
 - B)** Deduct share-based compensation expense from estimates of free cash flows and ignore dilution.
 - C)** Discount the estimated value of equity by a dilution factor.
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Question ID: 1586068

Under U.S. GAAP, capitalized periodic pension costs included in the value of ending inventory is *most likely*:

- A)** to be amortized over the service lives of employees.
 - B)** not allowed.
 - C)** to be expensed as part of cost of goods sold when the inventory is sold.
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Question ID: 1586073

In order to *decrease* the projected benefit obligation (PBO) of a pension plan, which of the following changes in pension assumptions can be made to yield the desired result?

- A)** Increase the expected rate of return.
- B)** Decrease the discount rate.
- C)** Decrease the rate of compensation growth.

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Question ID: 1586074

Wes Livingston is the founder and CEO of Bigwell Corporation. Livingston is interested in Bigwell being acquired by a larger competitor and wants to have his company's financial statements appear as attractive as possible to a potential suitor. In order to decrease the projected benefit obligation (PBO) of the company's pension plan, which of the following changes in actuarial assumptions could be made?

- A)** Decrease the discount rate.
 - B)** Increase the rate of compensation growth.
 - C)** Increase the discount rate.
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Question ID: 1586070

Fly-By-Night Airlines is a U.S. company planning to change its pension plan so that it can reduce its costs. It is considering reducing its defined benefit percentage from 10% to 5% of ending salary, retroactive for 10 years. In addition, since the firm is anticipating substantially reduced salary increases in the future, it is planning to reduce its compensation growth rate assumption. From a pension accounting perspective, the change in the:

- A)** Benefit percentage is a past service cost that will be amortized into and thus increase pension expense over the remaining service lives of its employees.
 - B)** Benefit percentage is a change in actuarial assumption that will be recognized in full in current period pension expense.
 - C)** Compensation growth rate assumption is a change in actuarial assumption that will reduce the defined benefit obligation and future pension expense.
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Question #24 of 36

Question ID: 1586066

Which of the following statements regarding pension accounting is *most* accurate?

- A)** A reconciliation between the funded status and the net pension asset (liability) reported on the balance is required.

- B) Changes in actuarial assumptions and past service costs fully and immediately affect the income statement.
 - C) Changes in the projected benefit obligation (PBO) and plan assets fully and immediately affect the balance sheet.
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Question ID: 1586069

A company reporting under U.S. GAAP reduced the discount rate for its pension obligation from 10% to 8%, reduced the expected long-term rate of return on the assets in its pension plan from 8% to 6%, and changed its compensation growth rate assumption from 4% to 5%. What is the *most likely* impact of these changes on the current year ending defined benefit obligation and pension expense?

- A) The reduction in the discount rate will decrease the defined benefit obligation and will increase reported pension expense.
 - B) The decrease in the long-term rate of return on plan assets will decrease reported pension expense.
 - C) The decrease in the long-term rate of return will have no impact on the defined benefit obligation and will increase reported pension expense.
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Question ID: 1586063

The projected benefit obligation (PBO) is defined as the:

- A) actuarial present value of all future pension benefits earned to date based on expected future salary increases.
 - B) actuarial present value of all future pension benefits earned to date and based on current salary levels.
 - C) actuarial future value of all post-retirement healthcare benefits earned to date.
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Question ID: 1586046

A company wants to start a stock option grant for their senior executives. The *most likely* impact on the company after the grant is that the leverage would be:

- A)** lower.
 - B)** unchanged.
 - C)** higher.
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Question ID: 1586044

The period at the end of which the employee is unconditionally entitled to a compensation is called the:

- A)** vesting date.
 - B)** settlement date.
 - C)** entitlement date.
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Question ID: 1586057

Jon Horton, CFA, is the Chief Financial Officer (CFO) for Springtown Corporation, a manufacturer of windows for residential and commercial applications. As part of an ongoing diversification strategy, Springtown Corp. has recently entered into a preliminary agreement to purchase all of the assets of Prime Doors, a manufacturer and distributor of doors to the same residential and commercial market in which Springtown sells its windows. Horton is head of the due diligence team that will fully evaluate Prime Doors' financial statements prior to the proposed acquisition.

Prime Doors has been in operation for thirty years, and currently has approximately 800 employees at two operating facilities. Horton observes in the notes to the financial statements that Prime Doors has a defined benefit pension plan, for which all employees are eligible. Employees are vested at the rate of 20% per year of employment, and are fully vested upon completion of five years of employment. Springtown does not offer a pension plan to its employees, but encourages employees to contribute to Individual Retirement Accounts (IRAs) and offers a 401(k) program.

Horton wants to fully evaluate the financial implications of Springtown's assumption of Prime Doors' pension assets and the associated future liabilities and expenses. Like most companies, the pension plan for Prime Doors' employees is not fully funded, but Horton wants to review all assumptions used by Prime Doors' accountants in the valuation of the plan's current liabilities. The most current information regarding the pension plans is as follows:

Select Pension Plan Information for Prime Doors (as of 12/31/05)	
Projected benefit obligation (PBO)	\$15,500,000
Accumulated benefit obligation (ABO)	\$13,750,000
Market value of plan assets	\$11,875,000

Horton notices a paragraph in the pension plan footnotes that the original pension plan was amended last year, effectively increasing the level of benefits to be paid to employees with more than ten years of service. However, he is not able to detect what effect, if any, this change in projected benefits has had on Prime Doors' financial statements or is expected to have in the future.

Horton is aware that a commonly used method can be used to adjust the income statement and provide a better measure of Prime Doors' economic pension cost than reported pension expense. He is not quite sure which components of the financial statements are utilized to derive an adjusted pension expense, but intends to investigate what analysis he can perform to gain more insight into the company's position with regards to its pension plan.

What effect will an increased discount rate and increased expected rate of return have on a company's projected benefit obligation (PBO) and fair value of plan assets (FVPL) as reflected in the financial statements?

- A)** Both will decrease.
 - B)** Both will increase.
 - C)** Only one will decrease.
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Question #30 of 36

Question ID: 1586055

The number of potentially dilutive securities for the option grant at the end of 20X1 is *closest* to:

- A)** 50,000.
 - B)** 3,559.
 - C)** 100,000.
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Question #31 of 36

Question ID: 1586065

Which of the following statements regarding the projected benefit obligation (PBO) and the value of the pension plan assets is *most* accurate?

- A)** If the PBO and the plan assets are the same, then nothing needs to be reported on the balance sheet.
 - B)** Plan amendments during the year generally result in a decrease of the PBO at the end of the year.
 - C)** The fair value of plan assets is increased by the amount of the expected return on assets.
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Question ID: 1586072

Tim Gresham, CFO of Alpha Logistics is concerned about changes in the business environment which could lead to Alpha violating some of the covenants of their outstanding debentures. Specifically Gresham is concerned about leverage and profitability ratios. Gresham reviews Alpha's most recent financial statements and decides that changing the assumptions for the company's defined benefit pension plan may provide some relief in the short-run. Alpha reports under U.S. GAAP.

Which of the following changes in the pension plan's assumptions would *most likely* lead to lower reported leverage and higher reported profitability?

- A)** Increasing the discount rate.
- B)** Increasing expected return on plan assets.
- C)** Increasing the growth rate in compensation expense.

Paul Roberts, CPA, is a partner in Roberts & Smith, an accounting firm that is located in Chicago. The firm has recently been retained by Midwest Manufacturing, a major producer of heavy machinery and tractor parts in the U.S. Midwest has been in operation since 1965, and currently has approximately 700 full-time employees. The company had its initial public offering in 1986. The company has hired Roberts's firm to ensure that the accounting for Midwest's employee pension plan is fully in compliance U.S. GAAP standards.

Selected year-end pension plan information for Midwest Manufacturing

	2006	2007
PBO	\$21 million	\$23 million
Discount Rate	6.0%	7.5%
Rate of Compensation Increase	4.0%	4.0%
Benefits paid	\$0.8m	\$1m
Interest cost		\$1.6m
Service cost		\$3m

Roberts will educate Midwest's accounting department on pension plan accounting that would be relevant to their situation.

As of January 1st, 2007, the fair value of plan assets was \$19 million. Which three components are necessary to calculate the fair value of the plan assets at the end of the year?

- A)** actual return on assets, employer contributions, and benefits paid.
 - B)** service cost, interest cost, and benefits paid.
 - C)** expected return on plan assets, employer and participant contributions, and benefits paid.
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Question ID: 1586078

Current U.S. GAAP pension accounting standards require public companies to report which of the following in the balance sheet?

- A)** The expected return on plan assets.
 - B)** The pension liability adjusted for unrecognized items.
 - C)** The funded status of the plan.
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Question ID: 1586079

As of December 31st, 2007, the fair value of plan assets was \$21 million. For this question only, assume that the sum of the unrecognized prior service cost and the unrecognized actuarial losses equals \$1.5 million. Calculate the amount attributable to Midwest's pension plan as of December 31st, 2007 that must be reported on the balance sheet under U.S. GAAP.

- A)** \$2.0 million.
 - B)** -\$2.0 million.
 - C)** -\$500,000.
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Question #36 - 36 of 36

Question ID: 1586080

Which of the following statements regarding the U.S. GAAP pension accounting standards is *most* accurate?

- The balance sheet will now reflect the true economic position of the pension plan,
A) but the income statement will not necessarily reflect a true measure of economic pension expense.
- B)** For most companies, the pension liability will increase while financial leverage may increase or decrease as a result of applying the standard.
- C)** The changes in GAAP now cause U.S. standards to be consistent with the International Financial Reporting Standards (IFRS) for pension plans.